

D089

Principles of Economics

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A city has spent \$8 million on a stadium design that cannot be reused. Finishing will cost another \$30 million and is expected to bring \$25 million in benefits. The mayor, in her second term, points out that the architect is internationally known. On economic grounds, what should the city do?

- A. Stop the project, because the additional \$30 million exceeds the \$25 million in benefits.
- B. Finish it, so the \$8 million is not wasted.
- C. Finish it, because \$25 million in benefits exceeds the \$8 million already spent.
- D. Finish it, because a well-known architect raises its value.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A coffee chain with shops in 40 cities raises the price of a latte from \$4.50 to \$5.25. A food magazine also ranked its beans among the best in the country last month. Holding other factors constant, how does economics describe the effect of the price increase on lattes?

- A. Demand shifts left.
- B. Quantity demanded falls — a movement along the demand curve.
- C. Demand shifts right because of the magazine ranking.
- D. Quantity demanded rises because higher price signals quality.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

Which event would shift the demand curve for a normal good to the right?

- A. The good's own price falls.
- B. Consumers' incomes rise.
- C. The price of a complement rises.
- D. The cost of producing the good falls.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A theater with 350 seats raises its ticket price from \$10 to \$12, and weekly tickets sold fall from 100 to 70. The theater recently installed new seats. Using the midpoint method, what is the price elasticity of demand and the effect on total revenue?

- A. About 1.94 (elastic); total revenue rises because price went up.
- B. It cannot be computed without knowing total seats.
- C. About 1.94 (elastic); total revenue falls from \$1,000 to \$840.
- D. About 0.52 (inelastic); total revenue rises.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

5. [TRANSFER — reversed stem / different variable]

Demand for a prescription drug has a price elasticity of 0.4. If the maker raises the price by 10%, by about how much will quantity demanded fall?

- A. 40%
- B. 10%
- C. 4%
- D. 25%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

6.

In a fast-growing city, the market rent for a one-bedroom apartment is \$1,800 a month. The city council, after a long public hearing, caps rent at \$1,400. What is the most likely result?

- A. No effect, because rent controls never bind.
- B. A surplus of empty apartments.
- C. A shortage: more apartments are demanded than landlords offer.
- D. Rents settle at \$1,800 anyway.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

7.

A paper mill releases waste into a river, raising water-treatment costs for a town downstream. The mill is the county's largest employer and has operated since 1965. Without government action, how does the market quantity of paper compare with the efficient quantity?

- A. The market produces less paper than is efficient.
- B. The quantity is efficient, but the price is too high.
- C. The market is efficient because the mill provides many jobs.
- D. The market produces more paper than is efficient.

Target word _____	The one fact that decides _____	Answer ____	[] sure [] unsure [] guess
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8.

A wheat farm in a perfectly competitive market can sell all it grows at \$20 per bushel. Its marginal cost is \$14 at 100 bushels, \$18 at 200, \$20 at 300 and \$25 at 400. The farm's average total cost is lowest at 200 bushels. How many bushels should it produce to maximize profit?

- A. As many as possible, since every bushel sells at \$20.
- B. 300
- C. 200
- D. 400

Target word _____	The one fact that decides _____	Answer ____	[] sure [] unsure [] guess
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9.

A country's nominal GDP this year is \$22 trillion. Its GDP deflator is 110. The country's population grew 1% and its unemployment rate is 4%. What is real GDP?

- A. \$20 trillion
- B. \$21.2 trillion
- C. \$22 trillion
- D. \$24.2 trillion

Target word _____	The one fact that decides _____	Answer ____	[] sure [] unsure [] guess
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10. [TRANSFER — reversed stem / different variable]

Real GDP is \$18 trillion and nominal GDP is \$21.6 trillion. What is the GDP deflator?

- A.** 83.3
- B.** 100
- C.** 3.6
- D.** 120

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

Inflation has reached 7% while unemployment is low. The central bank's chair gave a widely watched speech last week. Which open-market operation fits the goal of lowering inflation?

- A.** Increase government spending on infrastructure.
- B.** Buy government bonds to raise the money supply.
- C.** Lower the interest rate paid on bank reserves.
- D.** Sell government bonds to reduce the money supply and push interest rates up.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

An economy is in recession with high unemployment. Which pair of policies is expansionary?

- A.** The central bank buys bonds, and the government cuts taxes.
- B.** The central bank sells bonds, and the government raises taxes.
- C.** The central bank buys bonds, and the government cuts spending.
- D.** Neither; recessions always correct themselves quickly.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A city has spent \$8 million on a stadium design that cannot be reused. Finishing will cost another \$30 million and is expected to bring \$25 million in benefits. ~~The mayor, in her second term, points out that the architect is internationally known.~~ On economic grounds, what should the city do?

Target word: go/no-go at the margin **Decides:** Future cost \$30M exceeds future benefit \$25M; the \$8M is sunk.

A	Correct	Only future costs and benefits matter; finishing loses \$5 million.
B	Dropped element	Counts the sunk cost, which cannot be recovered either way.
C	Wrong stem number	Compares benefit to the sunk figure instead of the \$30 million still to spend.
D	Camouflage	The architect's fame is already reflected in the benefit estimate.

2. Answer B Concept 2

A coffee chain ~~with shops in 40 cities~~ raises the price of a latte from \$4.50 to \$5.25. ~~A food magazine also ranked its beans among the best in the country last month.~~ Holding other factors constant, how does economics describe the effect of the price increase on lattes?

Target word: movement vs. shift **Decides:** The good's own price changed.

A	Confusion set	Own-price changes do not shift demand; that language is for other factors.
B	Correct	A change in the good's own price moves along the curve.
C	Camouflage	The ranking is held constant; the question is about the price change.
D	Inverted operation	The law of demand: higher price, lower quantity demanded.

3. Answer B Concept 2 · transfer

Which event would shift the demand curve for a normal good to the right?

Target word: reverse: identify a shifter **Decides:** Higher income raises demand for normal goods.

A	Confusion set	That increases quantity demanded along the curve; it does not shift it.
B	Correct	Income is a demand shifter; for normal goods demand rises.
C	Inverted operation	A pricier complement shifts demand left.
D	Adjacent category	That shifts supply, not demand.

4. Answer C Concept 3

A theater ~~with 350 seats~~ raises its ticket price from \$10 to \$12, and weekly tickets sold fall from 100 to 70. ~~The theater recently installed new seats.~~ Using the midpoint method, what is the price elasticity of demand and the effect on total revenue?

Target word: elasticity value and revenue direction **Decides:** $\% \Delta Q = 30/85 \approx 35.3\%$; $\% \Delta P = 2/11 \approx 18.2\%$.

A	Absolute language	Assumes a price rise always raises revenue; with elastic demand it falls.
B	Camouflage	Seat capacity is not used in elasticity.
C	Correct	$35.3\% / 18.2\% \approx 1.94 > 1$; $\$10 \times 100 = \$1,000$ and $\$12 \times 70 = \840 .
D	Inverted operation	Divides the price change by the quantity change.

5. Answer C Concept 3 • transfer

Demand for a prescription drug has a price elasticity of 0.4. If the maker raises the price by 10%, by about how much will quantity demanded fall?

Target word: solve for % change in quantity **Decides:** $\% \Delta Q = \text{elasticity} \times \% \Delta P$.

A	Wrong stem number	Reads 0.4 as 40%.
B	Dropped element	Ignores elasticity and assumes a one-for-one response.
C	Correct	$0.4 \times 10\% = 4\%$.
D	Inverted operation	Divides 10% by 0.4 instead of multiplying.

6. Answer C Concept 4

In a fast-growing city, the market rent for a one-bedroom apartment is \$1,800 a month. The city council, ~~after a long public hearing,~~ caps rent at \$1,400. What is the most likely result?

Target word: effect of a binding ceiling **Decides:** Ceiling is below equilibrium.

A	Absolute language	A ceiling below equilibrium does bind.
B	Inverted operation	Surpluses come from floors above equilibrium.
C	Correct	A price held below equilibrium raises quantity demanded and lowers quantity supplied.
D	Dropped element	Ignores that the cap is legally enforced.

7. Answer D Concept 5

A paper mill releases waste into a river, raising water-treatment costs for a town downstream. ~~The mill is the county's largest employer and has operated since 1965.~~ Without government action, how does the market quantity of paper compare with the efficient quantity?

Target word: direction of market failure **Decides:** Negative externality: producer ignores costs imposed on the town.

A	Inverted operation	Underproduction goes with positive externalities.
B	Adjacent category	With an ignored external cost, the price is too low, not too high.
C	Camouflage	Employment does not remove the external cost.
D	Correct	Private cost is below social cost, so output is too high.

8. Answer B Concept 6

A wheat farm in a perfectly competitive market can sell all it grows at \$20 per bushel. Its marginal cost is \$14 at 100 bushels, \$18 at 200, \$20 at 300 and \$25 at 400. ~~The farm's average total cost is lowest at 200 bushels.~~ How many bushels should it produce to maximize profit?

Target word: profit-maximizing output **Decides:** $MR = \text{price} = \$20$; MC equals \$20 at 300 bushels.

A	Absolute language	Rising marginal cost eventually exceeds price.
B	Correct	Profit is maximized where $MR (\$20) = MC$.
C	Camouflage	Lowest average cost is not the profit-maximizing point.
D	Inverted operation	MC of \$25 exceeds price; the last units lose money.

9. Answer A Concept 7

A country's nominal GDP this year is \$22 trillion. Its GDP deflator is 110. ~~The country's population grew 1% and its unemployment rate is 4%.~~ What is real GDP?

Target word: compute real GDP **Decides:** Real = nominal ÷ deflator × 100.

A	Correct	$\$22 \text{ trillion} / 110 \times 100 = \$20 \text{ trillion}.$
B	Camouflage	Adjusts by the unemployment rate, which does not enter the calculation.
C	Dropped element	That is nominal GDP, with no price adjustment.
D	Inverted operation	Multiplies by 1.10 instead of dividing.

10. Answer D Concept 7 • transfer

Real GDP is \$18 trillion and nominal GDP is \$21.6 trillion. What is the GDP deflator?

Target word: solve for the deflator **Decides:** Deflator = nominal ÷ real × 100.

A	Inverted operation	Divides real by nominal.
B	Absolute language	The deflator equals 100 only in the base year.
C	Confusion set	That is the dollar gap in trillions, not an index.
D	Correct	$\$21.6 / \$18 \times 100 = 120.$

11. Answer D Concept 8

Inflation has reached 7% while unemployment is low. ~~The central bank's chair gave a widely watched speech last week.~~ Which open-market operation fits the goal of lowering inflation?

Target word: contractionary monetary tool **Decides:** Fighting inflation calls for less money and higher rates.

A	Adjacent category	That is fiscal, not monetary, policy — and expansionary.
B	Inverted operation	Buying bonds is expansionary and adds to inflation.
C	Confusion set	Lowering that rate encourages lending, an expansionary move.
D	Correct	Selling bonds drains reserves, tightening money.

12. Answer A Concept 8 • transfer

An economy is in recession with high unemployment. Which pair of policies is expansionary?

Target word: reverse: pick the expansionary mix **Decides:** Expansionary = more money, lower rates, more spending, lower taxes.

A	Correct	Both raise aggregate demand.
B	Inverted operation	Both are contractionary.
C	Dropped element	Only half of the pair is expansionary.
D	Absolute language	Self-correction can be slow; policy exists for that reason.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	5	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	3	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	11	
Absolute language	Always, never, guarantee — where judgment applies.	5	
Confusion set	Every option is real; the test is exact role-matching.	4	
Camouflage	Answers a stem fact that was never the question.	6	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Opportunity cost and sunk cost	Decide on what you give up at the margin going forward; money already spent and unrecoverable (sunk) should not affect the choice.	Continuing a project because of what has already been spent.	“Already spent” or “cannot be recovered” next to a go/no-go choice.
2	Change in demand vs. change in quantity demanded	A change in the good’s own price moves along the demand curve (quantity demanded); income, tastes, related-good prices, expectations and number of buyers shift the whole curve.	Saying a price change shifts the good’s own demand curve.	Whether the changing factor is the good’s own price or something else.
3	Price elasticity and total revenue	Elasticity = % change in quantity ÷ % change in price. If demand is elastic (>1), a price rise lowers total revenue; if inelastic (<1), it raises total revenue.	Assuming a price increase always raises revenue.	Two prices and two quantities, or a question about revenue after a price change.
4	Price ceilings and floors	A binding ceiling is set below equilibrium and causes a shortage; a binding floor is set above equilibrium and causes a surplus.	Thinking a ceiling is binding when set above the market price, or that it creates a surplus.	A legal maximum or minimum price compared with the equilibrium price.
5	Externalities	With a negative externality the market overproduces because producers ignore the cost to third parties; a tax equal to the external cost corrects it. Positive externalities are underproduced.	Believing the free market produces too little of a polluting good.	Costs or benefits that fall on people outside the transaction.
6	Profit maximization: $MR = MC$	A firm maximizes profit at the output where marginal revenue equals marginal cost; in perfect competition MR equals price.	Producing where average cost is lowest or where total revenue is highest.	A price plus a marginal-cost schedule.
7	Real vs. nominal GDP	Real GDP = nominal GDP ÷ GDP deflator × 100; it removes price changes so output can be compared over time.	Multiplying by the deflator, or treating nominal growth as real growth.	A nominal figure and a price index in the same stem.
8	Monetary and fiscal policy direction	To fight inflation the central bank sells bonds / raises rates and government can cut spending or raise taxes; to fight recession it does the reverse.	Mixing up which open-market action adds money to the economy.	An inflation or unemployment problem and a menu of policy moves.

Course scope (public description): Principles of Economics introduces students to foundational economic theories on markets and market behavior. This information is valuable to students pursuing careers involving decision making and is applicable to any industry. This course has three competencies: The Economic Way of Thinking, Microeconomics, and Macroeconomics. In the first, economics is defined, and fundamental economic

principles are introduced. Microeconomics develops the supply and demand model and demonstrates how it is used to understand business interactions and to make public policy decisions. The competency includes supply, demand, elasticity, efficiency, market failure, costs, production, and market structure. Macroeconomics focuses on the measurement and performance of the nation economy. The competency includes macroeconomic variables, aggregate supply, aggregate demand, money, monetary policy, fiscal policy, and international trade.